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Part 1



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been furnishing foreign exchange for loans to small private industries. This is a capital investment which would be ruled out completely under a purely technical assistance philosophy. Mr. Stassen said that our objective is to establish conditions of economic strength, political stability and favorable orientation toward the non-Communist world. All our operations are tools, of which technical cooperation is an important one; but the Mission is not restricted to the technical assistance technique.

The meeting recessed at 12:15 p.m.

Eisenhower Library, Eisenhower papers, Whitman file

Memorandum of Discussion at the 187th Meeting of the National Security Council Held on Thursday, March 4, 1954 [1]

[Extracts]

TOP SECRET EYES ONLY

The following were present at the 187th NSC meeting: The President of the United States, presiding; the Vice President of the United States; the Acting Secretary of State; the Secretary of Defense; the Director, Foreign Operations Administration; the Director, Office of Defense Mobilization. Also present were the Secretary of the Treasury; Mr. Morrison for the Director, Bureau of the Budget; the Chairman, Atomic Energy Commission; the Deputy Secretary of Defense; Robert R. Bowie, Department of State; Commissioner Campbell, AEC; the Chairman, Joint Chiefs of Staff; the Director of Central Intelligence; the Assistant to the President; Mr. Cutler and Mr. Jackson, Special Assistants to the President; the Executive Secretary, NSC; and the Deputy Executive Secretary, NSC.

There follows a summary of the discussion at the meeting and the main points taken.

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5. *Report by the Director, Foreign Operations Administration* [2]

Governor Stassen, at the outset of his report, distributed a written outline of his remarks (copy filed in the Minutes of the meeting), and emphasized that he was not going to suggest mature conclusions, but merely ideas which he had picked up in the course of

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[1] Drafted by Gleason on Mar. 5.

[2] Stassen had left Washington, Feb. 12, for a tour of the Far East and had arrived back in Washington late in February after stops in Japan, Korea, the Republic of China, Indochina, and the Philippines. While in Manila, he had attended a regional conference with FOA Mission Chiefs in the East Asia-Pacific area. The conference was held Feb. 22-26 (Manila time); see *supra*.

his journey and which might be of value to the Planning Board in its preparation of papers in the future.

Turning to Japan, Governor Stassen referred to anxiety expressed by the Council with regard to the Japanese economy. Actually, he thought, Japan was holding back until she could be assured of reparations settlements with her World War II enemies. We should accordingly urge these nations to reach reasonable settlements with Japan. After that, Governor Stassen predicted, Japan would rebound vigorously. Governor Stassen pointed out that Japan was on the verge of reviving an air force and an aircraft industry, and he thought it might be advantageous for the United States to tie in with this development instead of letting it grow independently of any U.S. guidance.

Turning to Formosa, Governor Stassen said that United States policy there must choose between three alternatives. *One,* to tell the Chinese Nationalists that they cannot go back to the mainland. *Two,* to tell them that we will try to build them up to a point where at some future date they could try to reconquer the mainland. *Three,* to tell them that if a real opportunity arises, such as the outbreak of war or revolution in Communist China, we would look favorably on an attempt to go back to the mainland. Of these three alternatives, Governor Stassen felt that the third was the best. If you tell the Nationalists that they can never go back, the morale and power of the Nationalist Government will inevitably deteriorate. If, on the other hand, you agree to some hypothetical date when they are going to make an attempt to regain control of mainland China, you set for the United States the very heavy task of building the Chinese Nationalists up to the level of power sufficient to enable them to achieve their objectives. But if you agree that they can go back in the event that a civil war in China, for instance, provides a reasonable opportunity, you provide a basis on which the United States can develop the level of forces and the kind of forces required to exploit such an opportunity. Governor Stassen then indicated the type of forces which would be required in such a contingency.

With regard to Indochina, Governor Stassen said that he returned with a strong feeling that the military situation in that area was a great deal better than we had imagined. Indeed, he had found the French actually hoping for a major enemy attack because they were so confident that they could crush it. Of course, it was extremely unfortunate that in the present kind of warfare so many French officers and non-coms were being killed, particularly by the savage mine warfare. He believed that the United States had available shoes which would prevent the maiming of soldiers

as a result of the explosion of plastic mines which could not be detected.

Governor Stassen said that General Navarre continued to look forward to the opening of his big offensive on October 1. He did not feel, however, that he had on hand as yet all the supplies he needed to mount this offensive. These supplies would have to be on hand by August 1, and Governor Stassen felt that the United States had most of the needed items in supply in Japan and Okinawa. Accordingly, our logistical back-up of the Navarre offensive should be based on Japan and Okinawa rather than on the roundabout line from the United States itself.

Governor Stassen also found a need for a more adequate French military government organization to move in and accomplish the pacification of areas taken away from the enemy in the fighting.

Most significant of all, said Governor Stassen, was the recent conviction of the French that it was really possible to create an effective fighting force out of the Vietnamese natives. The French had now come to believe that their early failures to achieve this objective were chiefly to be explained by the premature use of the native battalions, and they were now being provided with more thorough training.

With respect to U.S. personnel, both military and civilian, Governor Stassen recommended that no individual stay longer there than a period of two years. This was a front line operation.

Of the Emperor Bao Dai, Governor Stassen said he received a very poor impression of an individual who was weak physically and lacking in courage. Nevertheless, his new government contained some very promising officials. Moreover, Governor Stassen thought highly of the King of Cambodia, and believed the situation in that state very hopeful.

Turning to the Philippines, Governor Stassen said that President Magsaysay impressed him most favorably, and he recommended that the United States give the new Philippine President all-out backing. In order to do this it was absolutely essential to defer the date for the imposition of tariffs on Philippine goods scheduled to begin next July 1. If this date could be deferred a year, sufficient time could be given for a complete renegotiation of the Philippine trade agreement.

Governor Stassen believed that things were coming along quite well in Korea. In particular, our Armed Forces Reconstruction Program for rebuilding roads, schools, and hospitals was doing nicely. On the other hand, more must be done to speed up the industrial development of South Korea. The bulk of Korea's industry had been located in North Korea, and this fact was one reason why so

many South Koreans now feel that their country cannot survive without the complementary economy of North Korea.

With regard to Indonesia, Governor Stassen recommended that the United States support the build-up of the police force, which was not as yet Communist-dominated. With regard to the Indonesian economy, Governor Stassen said he had the feeling that it could be built up without resort to heavy expenditures by the United States provided a reparations settlement could be achieved and trade between Indonesia and Japan restored. Japan should have a prominent but not a dominant position in the economy of Indonesia. It was also desirable to secure British, French and Dutch cooperation to facilitate the revival and expansion of regional trade in this whole area.

With regard to the military posture which the United States should assume in the Far East, Governor Stassen recommended that we concentrate on becoming stronger in the air and on the sea. Not only should we develop the strength of our Air Force and Navy in the Far East, but we should demonstrate this strength by frequent showing of the flag in the waters and air space of the Far East. Governor Stassen pointed out that every one of the countries which he visited was eager to build up a jet air force. We might, he thought, consider giving to each of them a squadron or so of jet aircraft, largely for psychological purposes. Our real military strength in the Far East, however, must continue to be the U.S. Air Force and the U.S. Navy. The Asian nations should be urged to concentrate on the development of indigenous land forces. By and large, concluded Governor Stassen, if we continue to show determination, strength and stability (and this did not necessarily mean constant financial aid), he was sure that the Far Eastern area would move along the path we desired.

At the conclusion of Governor Stassen's report, the President referred to Governor Stassen's allusion to building up Japan as an industrial nation, as Germany was building itself up in Europe. He did not believe that such a build-up was possible if the present relationship between Japan and Communist China continued. Where was Japan to get the iron and coal which it had formerly got from Manchuria and North China?

Governor Stassen pointed out that there were deposits of coal in Korea, the Philippines and Australia, most of which had scarcely even been explored.

The President nevertheless remained convinced that the Japanese would have to get their coking coal from North China, and Secretary Humphrey said that certainly the basic difficulty was to determine where the Japanese were to secure the raw materials required to feed their industry.

After further discussion of the availability of markets and resources, Governor Stassen pointed out that many Japanese businessmen had expressed to him their fear of reviving the dependence on Manchurian coal and iron. Since these supplies could be cut off by the Chinese Communists without warning, these businessmen expressed a preference for trade connections in South Asia.

The National Security Council: [3]

Noted and discussed an oral report (based on a written report circulated at the meeting) by the Director, Foreign Operations Administration, on his recent trip to the Far East.

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S. EVERETT GLEASON

[3] The paragraph that follows constitutes NSC Action No. 1053. (S/S–NSC (Miscellaneous) files, lot 66 D 95)

Eisenhower Library, Eisenhower papers, Whitman file

Memorandum of Discussion at the 188th Meeting of the National Security Council Held on Thursday, March 11, 1954 [1]

[Extracts]

TOP SECRET EYES ONLY

Present at the 188th Meeting of the Council were: The President of the United States, presiding; the Vice President of the United States; the Acting Secretary of State; the Secretary of Defense; the Director, Foreign Operations Administration; and the Director, Office of Defense Mobilization. Also present were the Secretary of the Treasury; the Attorney General (for Items 2, 3 and 4); the Secretary of Commerce (for Items 5, 6 and 7); Mr. Morrison for the Director, Bureau of the Budget; the Chairman, Atomic Energy Commission (for Items 2, 3 and 4); the Federal Civil Defense Administrator (for Items 2, 3 and 4); the Chairman, Joint Chiefs of Staff; the Director of Central Intelligence; Sherman Adams, the Assistant to the President; Robert Cutler and C. D. Jackson, Special Assistants to the President; Gen. Persons, Deputy Assistant to the President; Walter S. Delany and Kenneth R. Hansen, Foreign Operations Administration; Marshall Smith, Acting Assistant Secretary of Commerce for Internal Affairs; the Executive Secretary, NSC; and the Deputy Executive Secretary, NSC.

[1] Gleason drafted this memorandum on Mar. 12.

Foreign Office has just told us UK unable agree to request reference telegram as feels proposal reopens question of participation in any eventual Southeast Asia defense organization [4] and places in dire jeopardy prospect of eventual cooperation in any form of other Asian States such as India and Burma. UK would not object to US keeping Philippine and Thai military representatives informed of progress of talks and consulting them outside conference. UK equally proposes keep other Commonwealth members generally informed.

Although doubtful matter considered by formal Cabinet meeting yesterday above represents considered ministerial level decision.

Understand Foreign Office advising British Embassy Washington in similar sense.

ALDRICH

[4] In telegram 5573 from London, June 8, the Embassy amplified this wording as follows: "Foreign Office states word 'reopens,' which used in oral UK answer to US request, intended convey UK continued belief that time not now propitious for discussion question of membership in a SEA defense organization. As UK does not feel able discuss membership at this time, it does not wish to be faced with a situation (Thailand and Philippine participation in five-power talks) which might prejudice in advance question of participation in any eventual SEA organization.

"As remainder of Embtel 5558 indicates, UK does not consider general question of SEA defense organization closed." (790.5/6–854)

Eisenhower Library, Eisenhower papers, Whitman file

Memorandum of Discussion at the 201st Meeting of the National Security Council Held on Wednesday, June 9, 1954 [1]

[Extracts]

TOP SECRET EYES ONLY

There were present at the 201st Meeting of the Council the President of the United States, presiding; the Vice President of the United States; the Secretary of State; the Secretary of Defense; the Director, Foreign Operations Administration; and the Director, Office of Defense Mobilization. Also present were Mr. Tuttle for the Secretary of the Treasury; the Attorney General (for Items 1 and 2); the Secretary of the Interior and the Secretary of Commerce (for Item 1); the Director, Bureau of the Budget; the Chairman, Atomic Energy Commission (for Items 2,3,6 and 7); the Acting Federal Civil Defense Administrator (for Items 2 and 3); Assistant Attorney General Barnes (for Item 1); the Secretary of the Army; Under Secretary of Commerce Murray (for Item 1); Assistant Secretary of the In-

[1] Drafted by Gleason on June 10.

terior Wormser (for Item 1); the Under Secretary of the Navy; Robert Amory, Jr., Central Intelligence Agency; the Chairman, Joint Chiefs of Staff; the Director of Central Intelligence; the Assistant to the President; Robert Cutler, Special Assistant to the President; the Deputy Assistant to the President; the White House Staff Secretary; the NSC Representative on Internal Security; the Executive Secretary, NSC; and the Deputy Executive Secretary, NSC.

Following is a summary of the discussion at the meeting and the main points taken.

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7. *Southeast Asia* (NSC 5405; NSC Actions Nos. 1086-b and -c, 1104-b, 1110,[2] 1112, 1147-b,[3] and 1148-b [4])

Secretary Wilson indicated the various countries which he had visited in the course of his journey to the Far East. In Japan, he said, Ambassador Allison had arranged for Secretary Wilson to have an interview with the Emperor. Secretary Wilson then read from a memorandum of conversation which Ambassador Allison had prepared after the interview. [5]

Secretary Wilson said that he had had "quite a visit" with Prime Minister Yoshida, who had tried to interest him in a great road-building scheme in Japan. While Yoshida seemed very anxious to proceed with the Japanese rearmament program, Secretary Wilson said he expected a lot of economic assistance from the United States in this process.

Secretary Wilson said that when he reached Korea he found President Rhee both courteous and friendly, but there had been no "business" talked between them. Subsequently, however, at a review of South Korean troops, President Rhee had made a speech which dealt with various policy matters. Secretary Wilson read to the Council excerpts from Rhee's speech, which heaped praise on General Van Fleet for his part in building up the ROK Army. The speech also contained a plea for continued U.S. build-up of South Korean armed forces.

In Formosa, said Secretary Wilson, the Generalissimo had tried to sell him a number of things in the course of three interviews. Secretary Wilson had taken the position that he was merely an observer. Chiang had taken the position that the United States was

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[2] Dated May 8, 1954, and printed with an extract from the memorandum of the 196th NSC meeting held the same day, in vol. XIII, Part 2, p. 1505.

[3] Dated June 3, 1954, and printed with an extract from the memorandum of the 200th NSC meeting held that same day, *ibid.*, p. 1660.

[4] See footnote 6, p. 537.

[5] Not printed.

wasting its time and money in Indochina. American aid had better be channelled elsewhere, since the great issues in Asia would not be settled in Indochina. Chiang had also pointed out that while the United States has treaty arrangements with the Philippines, the ROK, and Japan, there was no formal agreement between the United States and Nationalist China. Secretary Wilson had replied by pointing out the difficulties of working out an agreement with Chiang Kai-shek unless such an agreement were restricted to areas which the Generalissimo actually controlled. Secretary Wilson expressed the opinion that Chiang was very over-optimistic on what he thought he could accomplish in an invasion of the mainland, which the Generalissimo said could be successfully carried out without the need for any American ground forces.

With regard to the Philippines, Secretary Wilson said he had had "quite a talk with the folks down there". He had been advised in advance not to discuss with Magsaysay our base agreements. [6] He had, however, been told to indicate to Magsaysay the view of the United States that the time had come to implement the treaty with the Philippines. [7] Secretary Wilson also discussed with Magsaysay the economic situation and the need for educational development in the Philippines.

As a general result of visiting around in the various Far Eastern countries, Secretary Wilson said he clearly sensed the necessity of getting some kind of real internal stability in these countries. He wondered, however, if the United States was not trying to achieve economic improvement in many of these countries at too rapid a pace. Secretary Wilson therefore suggested that now was the time to take a "real new look" as to how best to accomplish our objectives in the Far East with far fewer U.S. personnel.

At the conclusion of Secretary Wilson's report, Mr. Cutler asked Secretary Dulles if he had any comments to make on developments in Southeast Asia since his last report to the Council.

Secretary Dulles replied that there were very few changes to report. As we had anticipated, the pre-conditions we had set for armed intervention in Southeast Asia had been "toyed with" by the French, but that the French had reached no firm conclusion with respect to internationalizing the Indochina conflict. In effect, they are using these pre-conditions and the prospect of our intervention at Geneva, but they seem to have no intention of actually taking up the option. Beyond this, an acceptable formula had been

[6] The original military base agreement between the United States and the Philippines (already much amended by 1954), had been signed at Manila on Mar. 14, 1947. For text, see TIAS 1775.

[7] Reference is to the Mutual Defense Treaty.

found for the independence of the Associated States if the time ever comes to invoke the formula.

The Thai appeal for UN observers, said Secretary Dulles, had made some progress, despite the obstacles placed in its way by the British and French, to whom it had been necessary to present a virtual ultimatum. At least a beginning had been made of getting the UN involved in Southeast Asia.

If a breakdown occurred at Geneva, Secretary Dulles predicted that the British would move for some kind of regional organization to protect what was left of Indochina and the rest of Southeast Asia. Secretary Dulles expressed himself as still opposed to United States intervention with armed force in Indochina unless our preconditions for such intervention had been met and unless we have other nations as associates in the enterprise.

Secretary Dulles then commented briefly on the U.S. course of action in the event of overt unprovoked Chinese Communist aggression, which the Council had discussed at its previous meeting. He said that he had had a number of talks with the representatives of the nations concerned, but no definite reactions had yet occurred. The Australians, he said, were obviously concerting their response with the British. However, Secretary Dulles had himself informed the British of the proposals he would discuss with the Pacific Dominions. The British remained heavily influenced by the point of view of India and by their fear of a desire on the part of the United States to provoke general war with Communist China.

Secretary Dulles concluded by offering the guess that Australia and New Zealand would ultimately agree to stand beside us in the face of overt Chinese Communist aggression. However, what their precise posture would be, Secretary Dulles said he could not predict.

The President said that he had one bit of information to add to the discussion. Pleven had called in General Gruenther [8] and pointed out what terrific repercussions would arise in France if the Tonkin Delta were lost. There would be harsh feelings against all of France's allies, and especially against Great Britain. The United States, however, would not avoid criticism. The President said that he had written back to General Gruenther [9] suggesting that he tell Pleven that if the Tonkin Delta fell, there would be very strong anti-French reactions in the United States in view of all that we had done to provide against its loss.

Secretary Dulles commented that if Indochina were lost, everyone would be on the lookout for a scapegoat.

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[8] Gen. Alfred M. Gruenther, Supreme Allied Commander in Europe.

[9] Letter not found in Department of State files.

The National Security Council: [10]

Noted oral reports by the Secretary of Defense on his recent Asian trip and by the Secretary of State on developments in the current negotiations with respect to Southeast Asia.

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S. EVERETT GLEASON

[10] The paragraph that follows constitutes NSC Action No. 1155. (S/S–NSC (Miscellaneous) files, lot 66 D 95)

790.5/6–1454 (Bulky)

Report of the Five-Power Military Conference of June 3–11, 1954 [1]

[Extracts]

TOP SECRET WASHINGTON, June 11, 1954.

FIVE POWER MILITARY CONFERENCE OF JUNE 1954

In accordance with instructions, the Military Representatives of Australia, France, New Zealand, the United Kingdom and the United States met in Washington from 3rd to 11th of June, 1954, to consider the military situation in South East Asia.

The Report of this Five Power Military Conference is attached.

S[YDNEY] F. ROWELL
Lt. General
Australia

J.E. VALLUY
Général de Corps d'Armée
France

W.G. GENTRY
Major General
New Zealand

JOHN HARDING
Field Marshal
United Kingdom

R.B. CARNEY
Admiral
United States

[1] This report is attached to a covering note of June 14 from MacArthur to the Secretary. In that note the Counselor recommended that Dulles read several sections "to get the main substance of the report". (790.5/6–1454) All sections recommended by MacArthur are included in the extracts printed here.

Eisenhower Library, Eisenhower papers, Whitman file

Memorandum of Discussion at the 214th Meeting of the National Security Council Held on Sunday, September 12, 1954 [1]

[Extract]

TOP SECRET EYES ONLY

Present at this meeting, held at Lowry Air Force Base, Denver, Colorado, were the following: The President of the United States, presiding; the Vice President of the United States; the Secretary of State; the Secretary of Defense; the Director, Foreign Operations Administration; and the Director, Office of Defense Mobilization. Also present were the Secretary of the Treasury; the Attorney General; the Director, Bureau of the Budget; the Chairman, Atomic Energy Commission; the Director, Federal Bureau of Investigation; the Chairman, Joint Chiefs of Staff; the Director of Central Intelligence; Robert Cutler, Special Assistant to the President; Robert R. Bowie, Department of State; Bryce Harlow, Administrative Assistant to the President; and the Executive Secretary, NSC.

Following is a summary of the discussion at the meeting and the main points taken.

1. Report by the Secretary of State (NSC 5429/1 [*2* ?])

At the suggestion of General Cutler, Secretary Dulles began the report of his recent Far East trip by discussing the Southeast Asia Treaty which was signed at Manila to protect the Southeast Asia area of the signatory nations. By separate protocol, Cambodia, Laos, and the free areas of Vietnam were also included in the treaty area.

As desired by the United States, the treaty utilized what Secretary Dulles termed the Monroe Doctrine formula previously used in the ANZUS and Philippine treaties. The other countries made an effort to utilize the NATO formula, but in view of the Senate debate on this subject and the previous use of the "Monroe Doctrine" formula in other treaties, the U.S. view had prevailed. Secretary Dulles believed that the other countries wished the NATO formula because it would provide for building up an elaborate military organization. Most countries wished the treaty to have a permanent organization, but this did not fit U.S. policy, so we had avoided a commitment in the treaty to a permanent organization. The treaty only provides that the nations will consult from time to time. In fact, there is no agreement yet as to where the treaty

[1] Drafted by Lay on Sept. 13.

powers will meet, and this might be in different locations at different times.

Under the treaty, if there is aggression the U.S. response would probably be with our mobile forces, as desired by the Joint Chiefs of Staff. There was a good deal of discussion of economic matters, and some suggestions of a Marshall Plan for the area. Secretary Dulles indicated that the U.S. was prepared to consider economic problems, but could not make any commitments or agree to an economic organization. Secretary Dulles had pointed out that the participation of other countries in the Far East would be required for the solution of the economic problems of the area. Pakistan had wanted an indication that the treaty gave the signatories preference for economic aid. Secretary Dulles agreed that non-member countries would not be entitled to ask for such aid, but that the treaty powers might, in their own interests, want to give other nations aid.

As to indirect aggression, the treaty provides that the nations will consult together, but there is no commitment as to action. Secretary Dulles said he did not feel he could press this further than that.

The greatest controversy had been over the U.S. proposal that the treaty should be against Communist aggression. In the beginning no other country was willing to single out Communist aggression, but wished the treaty to cover any aggression. Secretary Dulles had tried to break the deadlock by saying that the other countries could undertake the commitment against any aggression if they wished. However, the U.S. could not say that any aggression in the area endangered U.S. security, such as a border incident. Specifically, Secretary Dulles said he was thinking of the India-Pakistan dispute. He made it clear that the U.S. understood its commitment under the treaty to apply only to Communist aggression.

Secretary Dulles described the difficulties which were encountered toward the end of the negotiations when both the Philippines and Australia decided they were against the general formula and wished to have the treaty apply only to Communist aggression. It had then been necessary for Secretary Dulles to persuade them to sign the treaty with the general formula.

Secretary Dulles felt the most significant aspect of the meeting was the confrontation of the colonial and Asiatic powers trying to work out common problems. Magsaysay was the one who wanted a Pacific charter, and one was drawn up along the lines of the "Potomac Charter" by President Eisenhower and Prime Minister Churchill. This proposal caused an altercation which required Secretary Dulles to persuade the colonial powers that they should

agree to encouraging the aspirations of colonial people. The charter was finally worked out pretty much along the lines of the Potomac Charter. Secretary Dulles said that he believed the Asian members thought real progress had been made, and that the treaty would provide a better basis for fellowship between the East and the West.

In answer to General Cutler, Secretary Dulles said that U.S. ratification would probably take about six months, and that it would be six to ten months before the treaty went into effect. He believed, however, that there was sufficient agreement to provide a basis for planning action and, if need be in an emergency, to take action. The most doubtful nation to ratify will be Pakistan.

The President asked why Australia and New Zealand had fought on the side of the colonial powers. Secretary Dulles said that it was because of the dependent areas which they had around them. In general they were worried about too much independence for the island peoples adjacent to them, and particularly about the disposition of Netherlands New Guinea. Also, they had a general disposition to show a common front with Britain. The British representatives, incidentally, were on the defensive because Foreign Secretary Eden had not attended.

Secretary Dulles then described his talks of about five hours with Chiang Kai-shek. [2] The burden of the talks was a great plea by Chiang for a mutual security treaty with the United States. Chiang said that this was the basic reason why they felt isolated, since the U.S. had treaties with all of the other free nations in the area. Chiang realized that the reason the U.S. was concerned about a treaty was the possibility that the Chinese Nationalists would bring the U.S. into an effort to reconquer the mainland. Chiang said that they wished to do that themselves, with only U.S. logistic support, since the fact U.S. participation would be a liability from the Asiatic viewpoint. Chiang felt that the Chinese Nationalists had shown their willingness to cooperate with the U.S., particularly by obtaining U.S. approval for everything they did regarding the Chinese Communists. In fact, Chiang said that they had waited four days, before retaliating for the artillery shelling of Quemoy, in order to get U.S. approval. Admiral Radford said he doubted this was an accurate statement.

Secretary Dulles told Chiang that it was funny that when he was in the Philippines they had been upset because they weren't covered by the Seventh Fleet orders to protect Formosa. It seemed that everybody thought the other fellow was better off. Secretary

[2] After the Manila Conference, Dulles proceeded to Taiwan, where he conferred with President Chiang on Sept. 9. For documentation on this visit, see volume XIV.

Dulles suggested that Chiang think twice before changing the present situation under which U.S. operations regarding Formosa were covered by clear Executive order. If there were a security treaty he was not sure that the President would feel as free to take action. Secretary Dulles expressed to Chiang the belief that the Chinese Nationalists were better off for the time being the way they are. Secretary Dulles said he could not say that he had persuaded Chiang, but he thought he had aroused new considerations in his mind.

Secretary Dulles said that Chiang made no special plea for help regarding the offshore islands. Secretary Dulles knew that Chiang would like to have it, but thought he might have been afraid of being turned down, so he never asked.

Secretary Dulles had a feeling that Chiang was beginning to get tired and had aged considerably. He wondered whether Chiang still believes that he can reconquer the mainland. Chiang says so, but without the previous conviction. The President observed that Chiang's only hope was in a general uprising in China, for which Chiang would be called back, like Napoleon from Elba. Secretary Dulles commented there was no evidence that such an uprising would occur. He said that Chiang had applauded the Manila pact as a great achievement. Chiang thought the U.S. was doing better in Asia than in Europe. The President observed that Chiang had pointed out long ago that our future lay in the East, and was probably trying to prove it. Secretary Dulles said he had also explained to Chiang the principle underlying our redeployment in the Far East, and Chiang had made no criticism.

Secretary Dulles said that in Japan [3] he had had lengthy meetings with Premier Yoshida and Foreign Minister Okasaki, and a separate talk with Ikeda. [4] Secretary Dulles had explained U.S. redeployment policy and, as far as he could judge, Yoshida seemed to understand it and accept it.

Secretary Dulles said that the talks had indicated that economic matters were of considerable concern to the Japanese. The Japanese economic situation actually is improved, because of their austerity program and their good crop this year. They have almost enough rice for domestic consumption. In fact, the Chinese Nationalists were complaining that the Japanese were not buying Formosan rice. The Japanese trade deficit last year was about $1.1 billion. It is expected to be considerably less this year, and may be manageable if Japan can find some export markets in Southeast

[3] The Secretary had flown to Japan from Taiwan, and had then started back to the United States on Sept. 10. For documentation on the visit, see volume XIV.

[4] Hiyato Ikeda, former Minister of Finance, was Secretary General of the Liberal Party.

Asia. Secretary Dulles told Yoshida frankly that Japan should not expect to find a big U.S. market because the Japanese don't make the things we want. Japan must find markets elsewhere for the goods they export.

Secretary Dulles said the big problem economically for Japan at present is the question of reparations, particularly with the Philippines, Indonesia, and Burma. He had told Yoshida that this presented a real dilemma, since the Japanese economy can't stand sizeable reparations but can't be built up without a reparations settlement. He suggested that Yoshida try to accept a reasonable settlement such as the recent Burmese offer, which appeared to be a reasonable proposal. Yoshida assured Secretary Dulles in the most emphatic terms that the outward evidence of anti-Americanism was not truly the feeling of the Japanese people. Secretary Dulles said that he feels no doubt that the Communists are making progress on that campaign, however.

Secretary Dulles expressed the belief that we may have to lower our sights on Japanese rearmament. We must measure the value of military forces in being against the political support as to how and when they may be used. He feels that General Hull [5] and Ambassador Allison agree. General Hull recently made a trip to Hokaido, where he observed the air facilities being built on a series of islands in the Kuriles. There were 50 MIG's on the nearest island, and if the build-up continues at its present rate the Russians will have more air power there than our entire Far East Air Force. The President commented that while we had spent many months arguing about the responsibility for losing China, we had just given away the Kuriles. He said he had never understood why in the name of God we did it, and that he thought it constituted the "damnedest stupidity".

In answer to the Attorney General's question whether Japan would need rice from Indochina, Mr. Stassen said that he did not believe so, although Japan was buying a little rice from Pakistan and Thailand. In answer to the President's question, Mr. Stassen said some progress was being made in persuading the Japanese to eat wheat. In answer to the Vice President's question regarding the impression Magsaysay made on the other people at the Manila meeting, Secretary Dulles said that he saw more of Magsaysay than the others, who did not get a chance to have an adequate impression. Secretary Dulles said that Magsaysay had told him how

[5] Since 1953 Gen. John E. Hull had been Commander in Chief, United Nations Command; Commander in Chief, Far East Command; Commanding General of U.S. Army Forces in the Far East; and Governor of the Ryukyu Islands.

he, Magsaysay, had dealt with the Communists, and that it would make your hair stand on end.

The National Security Council:

Noted an oral report by the Secretary of State regarding the signing of the Southeast Asia Treaty and his visits to Formosa and Japan.

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JAMES S. LAY, JR.

396.1 MA/9-1454: Telegram

The Ambassador in Australia (Peaslee) to the Department of State

TOP SECRET CANBERRA, September 14, 1954—6 p.m.

105. Eyes only Secretary. Reference Department telegram circular 138, September 13 [1] and Manila's unnumbered September 8, 6 p.m.[2] and 10 p.m.[3]

Have seen Prime Minister twice, also Spicer, Attorney General and Acting Minister External Affairs, since delivery your personal message.

Prime Minister indicated that his dissatisfaction, shared by many Cabinet members, re Manila proceedings was not directed against US delegate as much as against certain of Australian delegates who, he said, had failed from outset to understand Cabinet's wishes, namely that Australia was to support US consistently, although Cabinet had no objection to minor efforts to help Colombo powers if that could be done without countering US desires. Instead of doing that, according to both Prime Minister and Spicer, Casey made himself chief champion of effort to eliminate word "communism".

Prime Minister said he was annoyed at last minute time pressures but Casey did not heed original instructions, that the Prime Minister later tried to make clear by telephone, [*sic*] and finally "I sent him a stinker".

Prime Minister and Spicer now really worried about Australian position and form of their ratification. They appreciate possible future embarrassments from omission of the word and would like, I think, to make similar reservation in their ratification unless you very seriously object. They may do so anyway.

Can give you further background if desired while I am in US on brief leave contemplated beginning September 26.

PEASLEE

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[1] Not printed.

[2] *Ante*, p. 899.

[3] *Ante*, p. 900.

JCS files, 092 Asia (6-25-48)

Note to the National Security Council by the Executive Secretary (Lay)

TOP SECRET [WASHINGTON,] December 22, 1954.
NSC 5429/5

CURRENT U.S. POLICY TOWARD THE FAR EAST

References:

A. NSC 5429/2, NSC 5429/3, NSC 5429/4
B. NSC 166/1
C. NSC 152/3
D. NSC 146/2
E. NSC Action No. 256
F. NSC 125/2 and NSC 125/6
G. NSC 170/1
H. NSC 171/1
I. NSC 5405
J. NSC 5409
K. NSC 5413/1
L. NSC Action No. 1250
M. NSC Action No. 1148
N. Memos for NSC from Executive Secretary, subject, "U.S. Objectives and Courses of Action with Respect to Formosa and the Chinese Nationalist Government", dated September 28 and October 5, 1954 and NSC Action No. 1235
O. NSC Action Nos. 1224 and 1234
P. NSC Action Nos. 1258 and 1259
Q. NSC Action No. 1233
R. NSC Action No. 1275
S. Memos for NSC from Executive Secretary, same subject, dated November 29 and December 20, 1954
T. NSC Action No. 1292

The National Security Council, the Secretary of the Treasury, the Secretary of Commerce, the Director, Bureau of the Budget, at the 229th meeting of the Council on December 21, 1954, discussed the subject in the light of the views of the Joint Chiefs of Staff transmitted by the reference memorandum of December 20. The Council adopted the changes in the statement of policy contained in NSC 5429/4, which are set forth in NSC Action No. 1292-b, and:

Deferred action on paragraph 5-g pending further consideration by the Secretary of State, in consultation with the Secretary of Defense, and report at the meeting of the Council to be held January 5, 1955. (NSC Action No. 1292-c)

Deferred action on paragraph 7-c, other than the "Majority Proposal" in 7-c(2), pending further consideration by the Secretary of State, in consultation with the Secretary of Commerce, and report at the meeting of the Council to be held January 5, 1955. (NSC Action No. 1292-d)

Requested the Council on Foreign Economic Policy to undertake the study outlined in the "majority proposal" in paragrah 7-c-(2) of NSC 5429/4. (NSC Action No. 1292-e)

The President has this date approved the statement of policy in NSC 5429/4, as amended and adopted by the Council (except paragraphs 5-g and 7-c) and enclosed herewith as NSC 5429/5; directs its implementation by all appropriate executive departments and agencies of the U.S. Government, subject to review in the light of final decisions as to basic national security policy; and designates the Operations Coordinating Board as the coordinating agency.

Accordingly, the enclosed policy supersedes NSC 5429/2; NSC Action No. 1148-b; NSC Action No. 1224-b and NSC Action No. 1234-b; NSC Action No. 1258-c and NSC Action No. 1259-c; Memo for NSC from Executive Secretary, subject, "U.S. Objectives and Courses of Action with Respect to Formosa and the Chinese Nationalist Government", dated September 28, 1954. All other Far Eastern policies (references B-L, where they are inconsistent with the enclosed statement of policy, are modified, pending Planning Board and Council review and revision of these more particular policies. [1]

A Financial Appendix covering the Far East will be prepared for the information of the Council at a later meeting.

JAMES S. LAY, JR.

[Enclosure]

STATEMENT OF POLICY BY THE NATIONAL SECURITY COUNCIL ON CURRENT U.S. POLICY IN THE FAR EAST [2]

GENERAL CONSIDERATIONS

1. The primary problem of U.S. policy in the Far East is to cope with the serious threat to U.S. security interests which has result-

[1] On Dec. 23 this sentence was revised to read as follows: "The enclosed statement of policy is to guide the implementation of all other existing Far Eastern policies (reference[s] B-L) modifying them where inconsistent, pending Planning Board and Council review and revision of these more particular policies." (Enclosure to note from Lay to all holders of NSC 5429/5, Dec. 23; JCS files, 092 Asia (6-25-48))

[2] All sections of this paper except Annex B are printed in Department of Defense, *United States-Vietnam Relations, 1945-1967*, Book 10, pp. 835-852. Annex B is printed below. Although the text in *United States-Vietnam Relations* is dated Dec. 22,

Continued

ed from the spread of hostile Communist power on the continent of Asia over all of Mainland China, North Korea and, more recently, over the northern part of Viet Nam.

2. In its five years of power, the regime in Communist China has established and consolidated effective control over the mainland and has maintained and developed close working relations with the Soviet Union. While there is now no reason to anticipate an early collapse of the regime nor any means of seeing when one might occur, inherently such regimes have elements of rigidity and instability which sometimes produce crises. We should be ready to exploit any opportunities which might occur as a result of inherent internal weaknesses.

3. The task of the United States in coping with this situation is further complicated by:

a. The vulnerability of the non-Communist countries in the area militarily, and in varying degrees, politically, economically, and psychologically, to further Communist expansionist efforts.

b. The deep-seated national antagonism and differing assessments of national interest which divided these countries from each other and severely hamper efforts to combine their collective resources for their own defense and welfare.

c. The intense nationalistic feelings, fed by residual resentments against European colonialism coupled with a widespread feeling of weakness and inadequacy in the face of the worldwide power struggle, which inhibit many of these countries from cooperating closely with the United States.

d. The divergencies on Far Eastern policy with our European allies, principally with respect to our posture toward China, which limit the extent of political and economic pressures which can be maintained against the Asian Communist regimes without divisive effects on the basic United States-led coalition.

Note: In addition to the foregoing general considerations, attention is directed to NIE 13-54, "Communist China's Power Potential Through 1957," published June 3, 1954, and NIE 10-7-54, "Communist Courses of Action in Asia Through 1957," published November 23, 1954.

OBJECTIVES

4. Pursuant to a policy of being clear and strong in its resolve to defend its vital interests, if necessary at the risk of but without being provocative of war, the principal objectives of the United States in the Far East should be:

1954, it includes, besides revisions to the end of 1954 which are noted here, revisions in paragraphs 5 and 7 which were approved by the National Security Council at its meetings held on Jan. 5 and 13, 1955.

a. Preservation of the territorial and political integrity of the non-Communist countries in the area against further Communist expansion or subversion.

b. Progressive improvement of the relative political, economic and military position of the non-Communist countries vis-à-vis that of the Asian Communist regimes.

c. Reduction of Chinese Communist power and prestige, or securing by reorientation a Government on the mainland of China whose objectives do not conflict with the vital interests of the United States.

d. Disruption of the Sino-Soviet alliance through actions designed to intensify existing and potential areas of conflict or divergence of interest between the USSR and Communist China.

e. Creation in Asia of political and social forces which will zealously spread the greater values of the Free World and simultaneously expose the falsity of the Communist ideological offensive.

COURSES OF ACTION

5. In order to preserve the territorial and political integrity of the area, the United States should:

a. Maintain the security of the Pacific off-shore island chain (Japan, Ryukyus, Formosa and the Pescadores, the Philippines, Australia, and New Zealand) as an element essential to U.S. security; assisting in developing such military strength in each area as is required by U.S. security and is consistent with each area's capability and maintenance of domestic stability.

b. In the event of unprovoked attack on the Republic of Korea, employ, in accordance with Constitutional processes, U.S. armed forces against the aggressor. While supporting the unification of Korea by all peaceful means and maintaining appropriate safeguards against ROK offensive action, continue military and economic assistance programs consistent with U.S. security interests and subject to continued ROK cooperation.

c. Ratify the Mutual Defense Treaty with the Republic of China covering Formosa and the Pescadores, and jointly agree upon appropriate safeguards against Chinese Nationalist offensive action. Pending the ratification of such a Treaty, continue the existing unilateral arrangement to defend Formosa and the Pescadores (excluding the Nationalist held off-shore islands). For the present, seek to preserve, through United Nations action, the status quo of the Nationalist-held off-shore islands; and, without committing U.S. forces except as militarily desirable in the event of Chinese Communist attack on Formosa and the Pescadores, provide to the Chinese Nationalist forces military equipment and training to assist them to defend such off-shore islands, using Formosa as a base. However, refrain from assisting or encouraging offensive actions against Communist China, and restrain the Chinese Nationalists from such actions, except in response to Chinese Communist provocation judged adequate in each case by the President.

d. In the event of Communist overt armed attack in the area covered by the Manila Pact prior to the entering into effect of the Pact, take actions necessary to meet the situation, including a re-

quest for authority from Congress to use U.S. armed forces, if appropriate and feasible. When the Pact is in effect, be prepared to oppose any Communist attack in the Treaty area with U.S. armed forces if necessary and feasible, consulting the Congress in advance if the emergency permits.

e. Employ all feasible covert means, and all feasible overt means including, in accordance with constitutional processes, the use of armed force if necessary and appropriate, to prevent Indonesia or vital parts thereof from falling under Communist control by overt armed attack, subversion, economic domination, or other means; concerting overt actions with the other ANZUS nations.

f. In the event of Communist overt armed attack or imminent threat of such attack against any other country in the area (not covered by a security treaty to which the United States is a party), this evidence of a renewal of Communist aggressive purposes would constitute such a grave menace to the United States as to justify the President in requesting authority from Congress to take necessary action to deal with the situation, including the use of U.S. armed forces, if appropriate and feasible.

g. In accordance with NSC Action No. 1292-c, paragraph 5-g awaits further consideration by the Secretary of State in consultation with the Secretary of Defense. Upon report of the Secretary of State thereon to the Council, adoption by the Council of a paragraph 5-g, and its approval by the President, the approved paragraph will be circulated for insertion herein.

h. Encourage the conditions necessary to form as soon as possible and then participate in, a Western Pacific collective defense arrangement including the Philippines, Japan, the Republic of China and the Republic of Korea, eventually linked with the Manila Pact and ANZUS.

i. If requested by a legitimate local government which requires assistance to defeat local Communist subversion or rebellion not constituting armed attack, the United States should view such a situation so gravely that, in addition to giving all possible covert and overt support within the Executive Branch authority, the President should at once consider requesting Congressional authority to take appropriate action, which might if necessary and feasible include the use of U.S. military forces either locally or against the external source of such subversion or rebellion (including Communist China if determined to be the source).

j. Assist where necessary and feasible non-Communist Government and other elements in the Far East to counter Communist subversion and economic domination.

k. Maintain sufficient U.S. forces in the Far East as clear evidence of U.S. intention to contribute its full share of effective collective aid to the nations of the area against the Communist threat, and to provide assurance to the people of the Far East of U.S. intent and determination to support them in the event of Communist aggression.

6. In order to enhance the individual and collective strength of the non-Communist countries, the United States should:

a. Increase efforts to develop the basic stability and strength of non-Communist countries, especially Japan and India, and their capacity and will to resist Communist expansion.

b. Continue (1) to recognize the Government of the Republic of China as the only government of China and its right to represent China in the United Nations, and (2) to furnish direct support to its defense establishment and its economy.

c. Encourage the prompt organization of an economic grouping by the maximum number of free Asian states, including Japan and as many of the Colombo Powers as possible based on self-help and mutual aid, and the participation and support (including substantial financial assistance) of the United States and other appropriate Western countries, through which, by united action, those free Asian states will be enabled more effectively to achieve the economic and social strength needed to maintain their independence.

d. Take all feasible measures to increase the opportunities of such countries for trade with each other and with other Free World countries.

e. Provide in South and Southeast Asia, through the economic grouping referred to in c above or otherwise, such economic and technical aid over an extended period as can be used effectively to accelerate the present slow rates of economic growth, and to give to the peoples in these areas a sense of present progress and future hope, which is currently lacking.

f. Develop and make more effective information, cultural, education and exchange programs; and expand the program for training of free Asian leaders.

g. Encourage the countries of the area to use qualified Americans as advisers and develop a program for training such persons.

h. Seek, by intensifying covert and psychological activities, and by utilizing indigenous persons to the greatest extent feasible, to (1) increase the understanding and orientation of Asian peoples toward the Free World and (2) expose the menace of Chinese imperialism and world Communism.

i. Encourage and support, more vigorously and effectively, the application of private capital to the development needs of free Asian countries under arrangements avoiding "exploitation" yet acceptable to private interests.

7. In order to weaken or retard the growth of the power and influence of the Asian Communist regimes, especially Communist China, the United States should:

a. Continue to refuse recognition of the Chinese Communist regime and other Asian Communist regimes, but deal with each on a local basis and with regard to specific subjects where the regime is a party at interest.

b. Continue to oppose seating Communist China in the Security Council, the General Assembly, and other organs of the United Nations.

c. In accordance with NSC Action No. 1292-d, paragraph 7-c awaits further consideration by the Secretary of State, in consultation with the Secretary of Commerce. Upon report of the Secretary of State thereon to the Council, adoption by the Council of a para-

graph 7–c, and its approval by the President, the approved paragraph will be circulated for insertion herein.

d. Utilize all feasible overt and covert means, consistent with a policy of not being provocative of war, to create discontent and internal divisions within each of the Communist-dominated areas of the Far East, and to impair their relations with the Soviet Union and with each other, particularly by stimulating Sino-Soviet estrangement, but refrain from assisting or encouraging offensive actions against Communist China or seaborne commerce with Communist China, and restrain the Chinese Nationalists from such actions, except in response to Chinese Communist provocation judged adequate in each case by the President. [3]

e. Continue the policy towards Indochina and Thailand stated in Annex A. [4]

8. a. The United States should attempt to convince the other Free World countries of the soundness of U.S. policies toward Communist China and toward the Republic of China and of the advisability of their adopting similar policies, without, however, imposing such pressures as would be seriously divisive.

b. In its Pacific role, the United States should be less influenced by its European allies than in respect to Atlantic affairs.

9. The United States must keep open the possibility of negotiating with the USSR and Communist China acceptable and enforceable agreements, whether limited to individual issues now outstanding or involving a general settlement of major issues.

Annex B [5]

Matters To Be Taken Into Account in a Study of Economic Defense Policy Applicable to Trade With the Communist Bloc

This Annex states suggestions, points of view, and other matters to which attention was called during Council and Planning Board discussion of NSC 5429/3, and which, pursuant to the majority proposal for par. 7–c–(4) (p. 12) of the foregoing statement of policy, would be taken into account in a study of economic defense policy applicable to trade with the Communist bloc.

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[3] On Dec. 29 Lay circulated to the NSC a revised page in which the words "or seaborne commerce with Communist China," in paragraph 7–d were deleted. (JCS files, 092 Asia (6–25–48))

[4] Annex A is not printed here; see footnote 2, above.

[5] Annex B was transmitted to the NSC under cover of a memorandum by Lay dated Jan. 20, 1955, to be attached to NSC 5429/5. (JCS files, 092 Asia (6–25–48))